July 23, 2026 04:13 AM GMT

Tesla Inc | North America

The Road to ROI: Patience Required

WHAT'S CHANGED		
Tesla Inc (TSLA.O)	From	To
Price Target	$417.00	**$400.00**

We view Tesla's accelerating capex cycle as a necessary investment to secure leadership in autonomy & robotics. However, these investments push FCF further into negative territory, increasing focus on tangible Robotaxi & Optimus milestones. We lower our PT to $400 reflecting elevated cash burn.

Key Takeaways

- TSLA remains positioned to lead in Physical AI, but the ROI on a heavy capex cycle requires patience and consistent execution.
- FSD adoption was an upside surprise, with North America attach rates reaching 55% in the quarter, far surpassing our 25-30% estimate.
- Robotaxi commentary was upbeat; we need density + larger sample of safety data within existing cities, not just geographic expansion.
- Cybercab production is scaling, but software recalibration limits near-term fleet entry.
- Optimus SOP is expected soon. Supply chain complexities elongate the initial ramp.

Nothing this quarter changes our thesis in a meaningful way. The capex step-up is a known trend, now confirmed and extended for the next 2-3 years, prolonging cash burn through the end of the decade on our estimates. We view this as a necessary investment to establish and defend a leadership position in autonomy and robotics. The open question remains the timing of when we actually see the ROI – specifically, a scaled robotaxi network that demonstrates increasing density and improving safety within existing cities, plus tangible progress commercializing Optimus. Absent consistent, transparent proof points, we'd expect the market's tolerance for incremental capex to narrow. We are lowering our price target to $400 (from $417) reflecting increasing capex and worsening cash burn through the end of the decade. Our long-term estimates are broadly unchanged.

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Tesla Inc (TSLA.O, TSLA US)

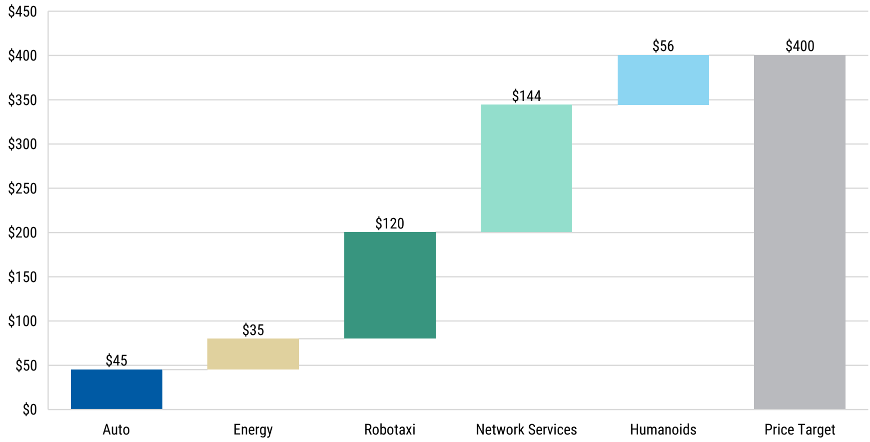
Autos & Shared Mobility | United States of America

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	**$400.00**
Shr price, close (Jul 22, 2026)	$374.01
Mkt cap, curr (mm)	$1,323,247
52-Week Range	$498.83-297.82

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS ($)**	1.67	1.70	2.07	2.69
Prior EPS ($)**	-	2.20	2.50	3.11
ModelWare EPS ($)	1.07	0.71	0.76	1.39

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

Exhibit 1: SOTP Valuation

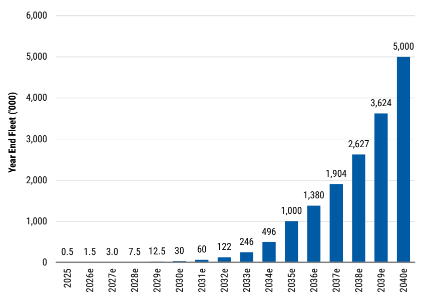


Source: Morgan Stanley Research estimates

What did we learn from the quarter?

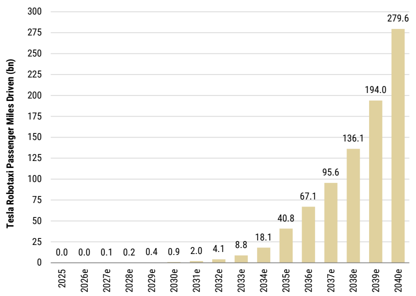
- **Robotaxi: new unsupervised miles driven disclosure and growth target (DD% w/w growth through YE).** Tesla disclosed a total of 380k cumulative unsupervised robotaxi miles driven to date (in TX/FL), vs. the company's disclosed cumulative 2.5mn paid robotaxi miles driven (across Texas, Florida, and the Bay Area). According to the company, no notable incidents were reported over those unsupervised miles, which is broadly consistent with the NHTSA data we track monthly. Weekly unsupervised miles have grown DD% w/w and are expected to continue at that pace through year-end. Notably, the robotaxi fleet is already operating early versions of v15 FSD software.

Exhibit 2: TSLA Robotaxi Fleet Size ('000)



Source: Morgan Stanley Research estimates

Exhibit 3: TSLA Robotaxi Passenger Miles (bn)

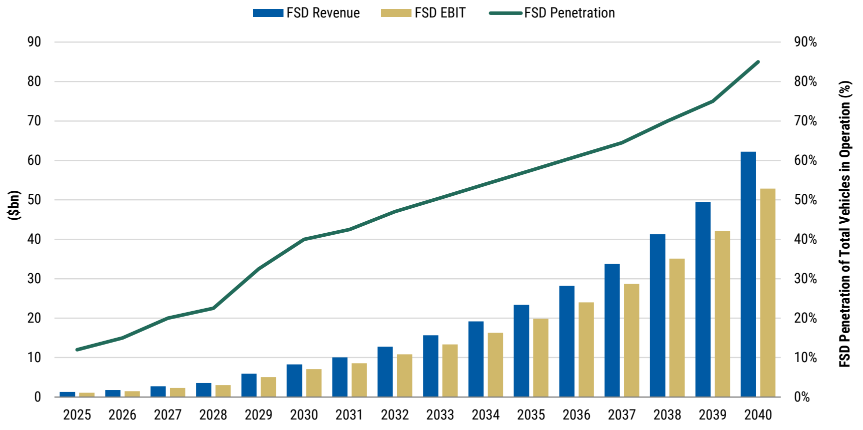


Source: Morgan Stanley Research estimates

- **Cybercab: Testing and validating v15 FSD on new chassis**. Cybercab manufacturing targets are now aligned to the projected growth rate of unsupervised miles. Before Cybercabs can be deployed in the fleet, the company needs to accumulate driving data specific to the Cybercab's new vehicle chassis to calibrate the software.
- **FSD: 12.6bn miles traveled, 1.5mn active subs, 55% attach rate on NA deliveries in 2Q**. TSLA disclosed a 55% attach rate of FSD on incremental volume in North America, well above our prior assumption of ~25-30%. **This**

is a strong indicator that consumers are buying TSLA vehicles for FSD, which we've long written is a growing competitive moat. This updated disclosure and commentary supports our view that global attach rates will reach 40% by 2030 and 80% by 2040 (still subject to international regulatory approval). No update on unsupervised FSD, though the company discussed unsupervised robotaxi progress on v15, which is supportive of future rollout to passenger vehicles.

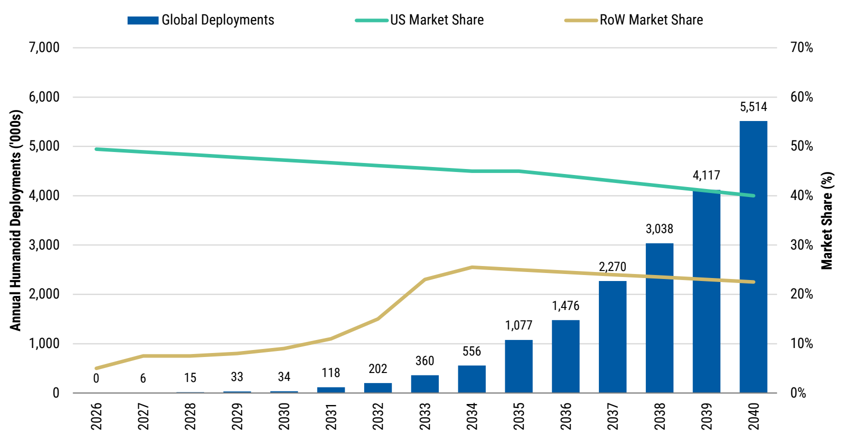
Exhibit 4: FSD Penetration



Source: Morgan Stanley Research estimates

- **Optimus: SOP expected to start soon. Complexity of supply chain likely to weigh on pace of initial ramp**. Management provided limited new commentary on production readiness during the call, and Musk again reiterated the challenge of building new supply chains that do not yet exist, designing a sufficiently dexterous robot ('*human, and then superhuman dexterity*'), and developing the tech that enables a humanoid robot to be able to perform generalized tasks (vs. pre-programmed or remote controlled). While we remain bullish on the Humanoid TAM longer term, we maintain our conservative adoption estimates through the end of the decade (see Exhibit 5).

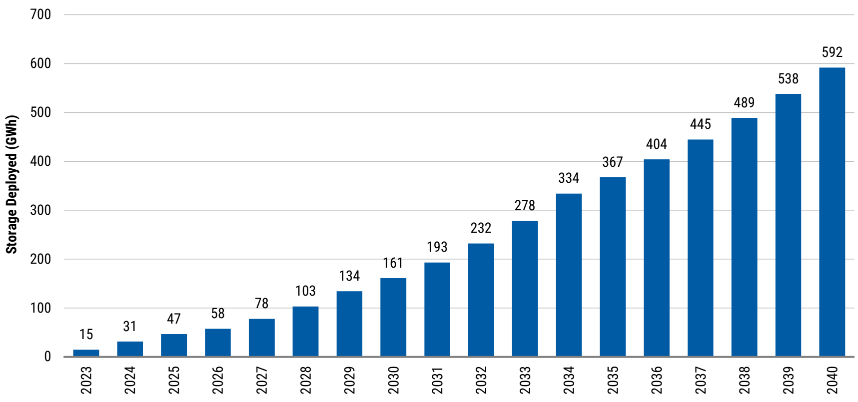
Exhibit 5: Optimus Deployments



Source: Morgan Stanley Research estimates

- **TeraFab: details imminent**. Management flagged an upcoming TeraFab event. Recall, TeraFab is a collaboration between Tesla and SpaceX (covered by Adam Jonas). Based on prior commentary, the expectation is that the bulk of the associated capex will sit with SpaceX, though we await a more comprehensive update.
- **Energy**. Normalizing for 1Q tariff benefits ($200mn) and 2Q warranty charges ($240mn), Energy gross margin fell ~300 bps q/q to 28% due to lower ASPs amid growing competition. Management expects robust growth to continue due to a healthy backlog and demand tied to the data center buildout and broader electrification. However, long-term gross margins are expected to compress to the low-to-mid 20% range. As such, we have lowered our 2030+ gross margin assumption by 150 bps to 23.5%. The company also reiterated its commitment to establishing fully vertically integrated solar manufacturing in the US (silicon refining through to the panel). Separately, management detailed a "megapod" design, pairing Tesla AI4 and x86 compute in a shippable enclosure that can be placed anywhere power is available — including at Tesla's Supercharger network (~7 GW and growing). **The concept effectively pairs distributed power with distributed inference and could add a further demand vector for Megapack over time.**

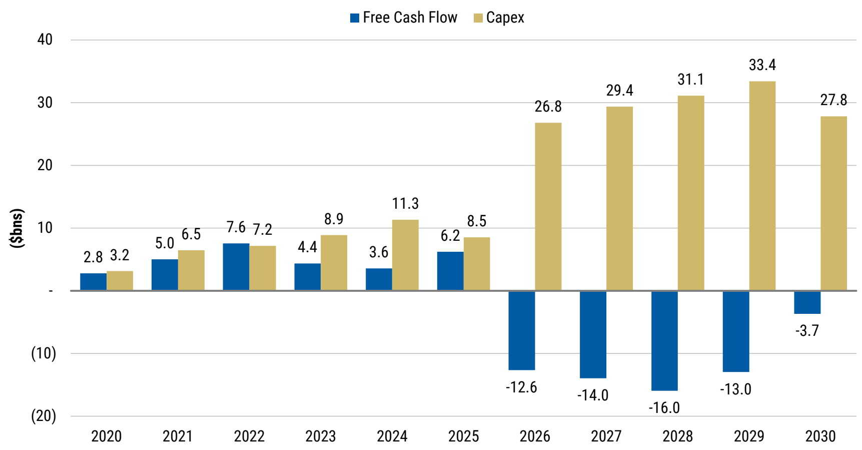
Exhibit 6: ESS Deployments



Source: Morgan Stanley Research estimates

- **CapEx**. Management reiterated the 2026 CapEx guide of more than $25bn and, notably, expects CapEx to increase over the next 2-3 years as Tesla expands the Robotaxi fleet, Optimus capacity, the semiconductor fab, solar manufacturing and AI compute - **a step-up versus our prior assumption of a moderating CapEx profile. Beyond cash generated from operations and cash on hand, management noted it is opportunistically securing debt facilities that would provide capacity to borrow up to $30bn to accelerate these investments.**

Exhibit 7: Capital Expenditures and FCF



Source: Morgan Stanley Research estimates

How our estimates are changing. We assume lower gross margins in auto and energy carry through the remainder of the year, while continued R&D growth adds further margin pressure. In total, our 2026 adj. EBITDA estimates decline by 7% with these changes. This also carries forward to 2027 where we expect Energy margins to remain under pressure and R&D to continue to grow as Tesla further invests in Optimus, semi manufacturing, etc. As a result, our 2027 adj. EBITDA estimate declines by 12%. The biggest change in our 2027 estimates is capex, where we now assume the company spends nearly $30bn (vs. $20bn previously). Our higher capex and lower EBITDA estimates drives a FCF burn of ~$14bn in 2027 (vs. $5bn previously).

Changes to Valuation

- **Our Base Case PT of $400.** Our $400 PT is comprised of 5 DCF-driven components: (1) $45/share for core Tesla Auto business on ~8.5mm units in 2040, 8.4% exit EBIT margin (ex-FSD), 10.9% WACC, and 10x 2040 exit EBITDA multiple. (2) Network Services at $144/share, 80% attach rate at $240/month ARPU by 2040 (3) Tesla Mobility at $120/share on DCF with ~5mn cars at ~$1.33/mile by 2040. (4) Energy at $35/share (16% 15yr rev CAGR and 17% terminal EBIT margin), and (5) Humanoids at $56/share (50% probability discount).

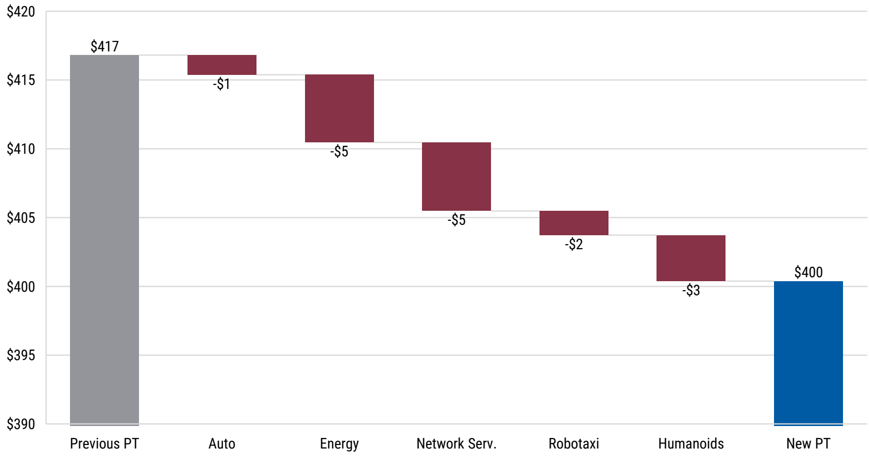
- **Our Bull Case PT of $821.** For core auto, we assume TSLA is able to deliver ~12.5mm units by 2040 with ~13.5% EBIT margin (ex-FSD), implying ~$82/share. TSLA Network Services valued at $257/share, on 90% attach rate at ~$250 Monthly ARPU by 2040. We value TSLA Mobility at $201/share with 8.5mn fleet and 30% EBITDA margin in 2040. For Energy, $82/share (21% 15yr rev CAGR and 21% terminal EBIT margin). Tesla Humanoids at $199/share (0% probability discount).

- **Our Bear Case PT of $130.** Our $130 bear case ascribes $24/share for automotive which assumes ~6.0mn units by 2040 at a 3.4% EBIT margin (ex-FSD). Tesla Network Services at $51/share (60% attach rate at $200

Monthly ARPU by 2040). Other value is ascribed to Tesla Mobility at $39/share on a 2mn car fleet and ~40% EBITDA margin by 2040, and Tesla Energy at $16/share (~15% 15 yr rev CAGR and 13% terminal EBIT margin). Humanoids at $0/share.

For our Tesla deep-dive, see: Beyond the Wheel – Mapping Tesla's Journey into Physical AI.

Exhibit 8: SOTP Bridge: Changes to PT



Source: Morgan Stanley Research estimates

Exhibit 9: Changes to Estimates

Income Statement ($MM)	2026e New	2026e Old	2026e Δ	2027e New	2027e Old	2027e Δ
Revenue						
Auto	72,149	72,158	0.0%	78,496	77,732	1.0%
Energy + Services and Other	30,621	30,254	1.2%	40,572	39,854	1.8%
ZEV Credit	1,192	1,430	-16.7%	1,113	1,113	0.0%
Total Revenue	**102,770**	**102,412**	**0.3%**	**119,068**	**117,586**	**1.3%**
COGS						
Auto	58,645	58,066	1.0%	63,847	62,941	1.4%
Energy + Services and Other	24,970	24,516	1.9%	33,740	32,695	3.2%
Gross Profit						
Auto Gross Profit	13,504	14,092	-4.2%	14,650	14,791	-1.0%
% Gross Margin	18.7%	19.5%	-0.8%	18.7%	19.0%	-0.4%
% Gross Margin (ex. ZEV)	17.4%	17.9%	-0.6%	17.5%	17.9%	-0.4%
Energy + Services and Other Gross Profit	5,651	5,738	-1.5%	6,832	7,159	-4.6%
% Gross Margin	18.5%	19.0%	-0.5%	16.8%	18.0%	-1.1%
Total Gross Profit	**19,155**	**19,830**	**-3.4%**	**21,481**	**21,950**	**-2.1%**
% Gross Margin	18.6%	19.4%	-0.7%	18.0%	18.7%	-0.6%
R&D	9,344	7,889	18.4%	10,278	8,442	21.8%
% of Sales	9.1%	7.7%	1.4%	8.6%	7.2%	1.5%
SG&A	7,852	7,750	1.3%	8,335	7,937	5.0%
% of Sales	7.6%	7.6%	0.1%	7.0%	6.8%	0.2%
RX	0	0	0.0%	0	0	0.0%
Operating Income	**1,960**	**4,191**	**-53.2%**	**2,869**	**5,572**	**-48.5%**
% Margin	1.9%	4.1%	-2.2%	2.4%	4.7%	-2.3%
Adjusted EBITDA	**15,084**	**16,181**	**-6.8%**	**15,717**	**17,784**	**-11.6%**
% Margin	14.7%	15.8%	-1.1%	13.2%	15.1%	-1.9%
SBC	4,673	4,292	8.9%	4,653	4,095	13.6%
Interest Expense	(1,304)	(1,248)	4.5%	(826)	(991)	-16.7%
Other expense / (income), net	55	(535)	-110.3%	0	0	NA
Pre-Tax Earnings	**3,319**	**4,904**	-32.3%	**3,694**	**6,563**	-43.7%
Income Tax	772	1,316	-41.4%	948	1,694	-44.0%
% Tax Rate	23.2%	26.8%	-3.6%	25.7%	25.8%	-0.1%
Net loss contributable to NCI	(52)	(50)	4.0%	(55)	(53)	4.0%
Net Income	**2,496**	**3,538**	-29.5%	**2,692**	**4,816**	-44.1%
GAAP Diluted EPS	**$0.71**	**$1.00**	**-29.4%**	**$0.76**	**$1.35**	**-44.1%**
Non-GAAP Diluted EPS	**$1.70**	**$2.20**	**-22.7%**	**$2.07**	**$2.50**	**-17.5%**
Diluted Common Shares Outstanding	3,531	3,532	0.0%	3,556	3,558	-0.1%
Free Cash Flow	(12,427)	(11,432)	NA	(13,958)	(5,244)	NA
Capital Expenditures	26,805	26,777	0.1%	29,378	19,350	51.8%

Source: Morgan Stanley Research estimates

Exhibit 10: 2026 Forecast – MSe vs. Consensus

	2026		
	MSe	Cons	% Diff
Auto Deliveries	**1,670,463**	**1,692,927**	**-1.3%**
Model 3/Y	1,628,960	1,616,171	0.8%
Other	41,502	76,756	-45.9%
Revenue	**102,770**	**104,299**	**-1.5%**
Auto Gross Profit	**13,504**	**13,630**	**-0.9%**
% Margin (excl. Credits)	*17.4%*	*17.8%*	
% Margin (incl. Credits)	*18.7%*	*19.0%*	
Energy Gross Profit	**4,015**	**5,017**	**-20.0%**
% Margin	*27.2%*	*31.2%*	
Services & Other Gross Profit	**1,636**	**1,494**	**9.5%**
% Margin	*10.3%*	*9.4%*	
Total Gross Profit	**19,155**	**20,141**	**-4.9%**
% Margin	*18.6%*	*19.3%*	
Adj. EBITDA	**15,084**	**15,524**	**-2.8%**
% Margin	*14.7%*	*14.9%*	
EPS	**$1.70**	**$1.98**	**-14.0%**
FCF	**(12,427)**	**(9,616)**	**29.2%**

Source: Morgan Stanley Research estimates, FactSet, Visible Alpha

Exhibit 11: 2Q26 Earnings Variance

Tesla Income Statement ($MM)	2Q26	Cons	MSe	% Difference vs. Cons	% Difference vs. MSe
Revenue					
Auto (inc credits)	20,516	19,078	21,010	7.5%	(2.4%)
Reg Credit	*146*	*307*	*384*		
Energy	3,139	3,826	3,599	(18.0%)	(12.8%)
Services and Other	4,581	3,752	3,755	22.1%	22.0%
Total Revenue	**28,236**	**26,714**	**28,363**	**5.7%**	**(0.4%)**
COGS					
Auto	17,053	15,369	16,883		
Energy	2,499	2,684	2,591		
Services and Other	3,933	3,435	3,434		
Gross Profit					
Auto	3,463	3,709	4,127	(6.6%)	(16.1%)
% Gross Margin (inc Credits)	16.9%	19.4%	19.6%		
% Gross Margin (exc. Credits)	**16.3%**	**18.0%**	**18.1%**		
Energy	640	1,142	1,008	(44.0%)	(36.5%)
% Gross Margin	*20.4%*	*30.1%*	*28.0%*		
Services and Other	648	317	321	104.4%	101.9%
% Gross Margin	*14.1%*	*8.2%*	*8.5%*		
Total Gross Profit	**4,751**	**5,160**	**5,455**	**(7.9%)**	**(12.9%)**
% Gross Margin	16.8%	19.3%	19.2%		
R&D	2,371	1,957	2,026	21.2%	17.0%
% of Sales	*8.4%*	*7.3%*	*7.1%*		
SG&A	1,982	1,802	1,985	10.0%	(0.2%)
% of Sales	*7.0%*	*6.7%*	*7.0%*		
Restructuring + Other Expenses	0	8	-		
Operating Income	**398**	**1,393**	**1,444**	**(71.4%)**	**(72.4%)**
% Margin	*1.4%*	*5.2%*	*5.1%*		
SBC	989	719	1,103	37.5%	(10.3%)
Net Interest Expense	(341)	(321)	(342)	6.3%	(0.3%)
Other (income) / expense, net	(590)	52	0		
Pre-Tax Earnings	1,329	1,661	1,786	(20.0%)	(25.6%)
Income Tax	201	392	452	(48.7%)	(55.5%)
% Tax Rate	*15.1%*	*23.6%*	*25.3%*		
Net (income) / loss attributable to NCI	14	16	12		
GAAP Net Income	**1,114**	**1,229**	**1,322**	**(9.4%)**	**(15.7%)**
Adj Net Income	**2,103**	**1,949**	**2,425**	**7.9%**	**(13.3%)**
GAAP EPS Diluted	**$0.32**	**$0.35**	**$0.37**	(8.6%)	(14.6%)
Diluted Common Shares Outstanding	3,540	3,576	3,528		0.3%
Non-GAAP Dil. EPS	**$0.33**	**$0.55**	**$0.69**	**(40.0%)**	**(52.0%)**
FCF	**(1,092)**	**(2,626)**	**(2,966)**	NA	NA
Capital Expenditures	5,789	6,784	6,000	(14.7%)	(3.5%)
Cash, Cash Equivalents and Marketable Securities	43,524	41,543	41,777	4.8%	4.2%
Adj EBITDA	**3,273**	**4,061**	**4,600**	**(19.4%)**	**(28.8%)**
Adj EBITDA Margin	11.6%	15.2%	16.2%	(23.7%)	(28.5%)

Source: Morgan Stanley Research estimates, Tesla, FactSet, Visible Alpha

Risk Reward – Tesla Inc (TSLA.O)

AI Optionality Offset by Near-Term Auto Headwinds, Full Valuation

PRICE TARGET $400.00

Our PT of $400 is comprised of 5 components: **(1)** $45/share for core Tesla Auto business on ~8.5mm units in 2040, 8.4% exit EBIT margin (ex-FSD), 10.9% WACC, and 10x 2040 exit EBITDA multiple. **(2)** Network Services at $144/share, 80% attach rate at $240/month ARPU by 2040 **(3)** Tesla Mobility at $120/share on DCF with ~5mn cars at ~$1.33/mile by 2040. **(4)** Energy at $35/share, and **(5)** Humanoids at $56/share (50% probability discount).

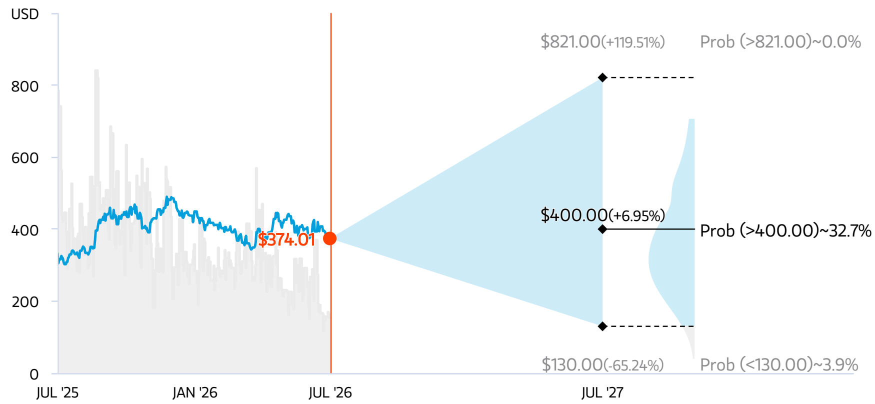
Consensus Price Target Distribution $24.86 — $398.00 — $600.00

MS PT

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 22 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

EQUAL-WEIGHT THESIS

- **Leader in Physical AI.** Tesla under Elon Musk's leadership is poised to be a market leader across autonomous mobility, renewable energy, and robotics.
- **Network Services the Crown Jewel.** We believe TSLA can leverage its EV cost leadership to expand user base and generate a higher % of revenue from recurring/high-margin software & services.
- **AI optionality offset by cautious EV outlook and balanced Risk Reward skew near-term**. We include Autos, Network Services, Energy, Mobility, and Optimus in our $400 PT, with Bear Case $130, Bull Case $821.

Consensus Rating Distribution

44%	Overweight
44%	Equal-weight ●
13%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption:	*Positive*
Secular Growth:	*Positive*
Electric Vehicles:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $821.00

~78x 2030e EV/EBITDA

For core auto, we assume TSLA is able to deliver ~12.5mm units by 2040 with ~13.5% EBIT margin (ex-FSD), implying ~$82/share. TSLA Network Services valued at $257/share, on 90% attach rate at ~$250 Monthly ARPU by 2040. We value TSLA Mobility at $201/share with 8.5mn fleet and 30% EBITDA margin in 2040. For Energy, $82/share (21% 15yr rev CAGR and 21% terminal EBIT margin). Tesla Humanoids at $199/share (0% probability discount).

BASE CASE $400.00

~53x 2030e EV/EBITDA

Our PT of $400 is comprised of 5 components: **(1)** $45/share for core Tesla Auto business on ~8.5mm units in 2040, 8.4% exit EBIT margin (ex-FSD), 10.9% WACC, and 10x 2040 exit EBITDA multiple. **(2)** Network Services at $144/share, 80% attach rate at $240/month ARPU by 2040 **(3)** Tesla Mobility at $120/share on DCF with ~5mn cars at ~$1.33/mile by 2040. **(4)** Energy at $35/share (16% 15yr rev CAGR and 17% terminal EBIT margin), and **(5)** Humanoids at $56/share (50% probability discount).

BEAR CASE $130.00

~28x 2030e EV/EBITDA

Our $130 bear case ascribes $24/share for automotive which assumes ~6.0mn units by 2040 at a 3.4% EBIT margin (ex-FSD). Tesla Network Services at $51/share (60% attach rate at $200 Monthly ARPU by 2040). Other value is ascribed to Tesla Mobility at $39/share on a 2mn car fleet and ~40% EBITDA margin by 2040, and Tesla Energy at $16/share (~15% 15 yr rev CAGR and 13% terminal EBIT margin). Humanoids at $0/share.

Risk Reward – Tesla Inc (TSLA.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Deliveries (000s)	1,636	1,670	1,855	2,138
Total Revenue ($, mm)	94,827	102,770	119,068	143,422
Auto Gross Margin (%)	17.8	18.7	18.7	18.6
Free Cash Flow ($, mm)	6,220	(12,427)	(13,958)	(15,952)
Net Debt (Cash) ($, mm)	(35,683)	(21,403)	(7,408)	8,581

INVESTMENT DRIVERS

- Robotaxi city launches
- Advancements in FSD
- New Model announcements
- Emerging Competition (from traditional OEMs, startups, & large tech firms)

GLOBAL REVENUE EXPOSURE

- 0-10% Latin America
- 0-10% MEA
- 0-10% UK
- 20-30% Europe ex UK
- 20-30% Mainland China
- 30-40% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increased FSD attach rate / unsupervised FSD
- Cost milestones on new battery
- New model intro (Roadster, multivan)
- Robotaxi rollout
- Optimus announcement

RISKS TO DOWNSIDE

- Competition: legacy OEMs/Chinese players/big tech in Autos and Robotics
- Execution risk across robotaxi/FSD/humanoid
- Regulatory
- China risk
- Dilution
- Valuation

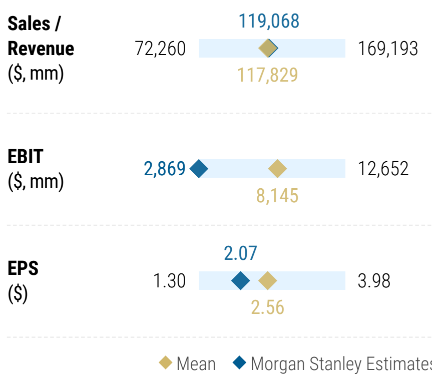
OWNERSHIP POSITIONING

Inst. Owners, % Active	43.3%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	11.1%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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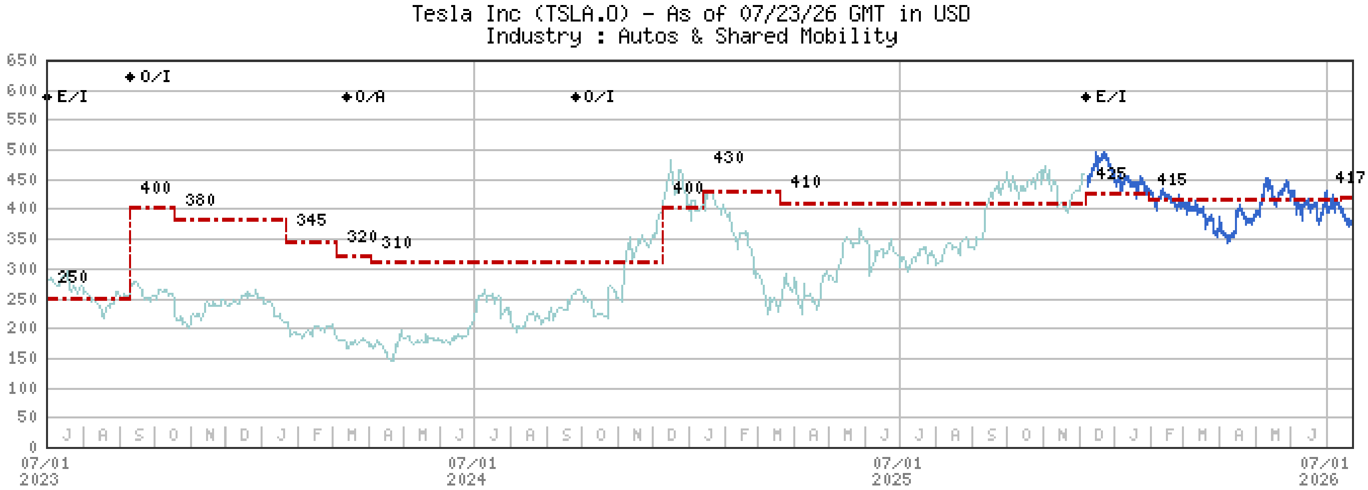
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 7/1/21 : O/I; 6/22/23 : E/I; 9/10/23 : O/I; 3/13/24 : O/A; 9/25/24 : O/I; 12/7/25 : E/I

Price Target History: 4/22/21 : 300; 10/24/21 : 400; 1/10/22 : 433.33; 6/22/22 : 400; 7/14/22 : 383.33; 8/25/22 : 383; 10/10/22 : 350; 10/24/22 : 330; 12/28/22 : 250; 1/25/23 : 220; 4/20/23 : 200; 6/22/23 : 250; 9/10/23 : 400; 10/19/23 : 380; 1/22/24 : 345; 3/5/24 : 320; 4/4/24 : 310; 12/10/24 : 400; 1/13/25 : 430; 3/20/25 : 410; 12/7/25 : 425; 1/29/26 : 415; 7/13/26 : 417

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Andrew S Percoco		
Adient PLC (ADNT.N)	E (12/07/2025)	$20.65
Aptiv Plc (APTV.N)	O (05/07/2026)	$58.22
Avis Budget Group Inc (CAR.O)	E (12/07/2025)	$164.36
BorgWarner Inc. (BWA.N)	E (12/07/2025)	$64.25
Dauch Corporation (DCH.N)	E (12/07/2025)	$5.70
Ford Motor Company (F.N)	E (09/25/2024)	$14.42
General Motors Company (GM.N)	O (12/07/2025)	$82.13
Hertz Global Holdings Inc (HTZ.O)	E (02/08/2024)	$1.93
Lear Corporation (LEA.N)	E (12/07/2025)	$143.69
Lucid Group Inc (LCID.O)	U (12/07/2025)	$6.78
Magna International Inc. (MGA.N)	E (09/25/2024)	$67.58
Mobileye Global Inc (MBLY.O)	E (08/02/2024)	$8.78
Quantumscape Corp (QS.O)	E (12/07/2025)	$5.87
Rivian Automotive, Inc. (RIVN.O)	U (12/07/2025)	$17.18
Tesla Inc (TSLA.O)	E (12/07/2025)	$374.01
Versigent Plc (VGNT.N)	O (05/07/2026)	$41.16
Visteon Corporation (VC.O)	E (06/01/2022)	$103.16
Daniela M Haigian		
Asbury Automotive Group Inc (ABG.N)	E (09/25/2024)	$223.36
AutoNation Inc. (AN.N)	O (09/25/2024)	$205.97
Carmax Inc (KMX.N)	E (11/10/2025)	$57.45
Carvana Co (CVNA.N)	O (08/07/2025)	$62.75
Group 1 Automotive, Inc (GPI.N)	O (09/25/2024)	$327.93
Lithia Motors Inc. (LAD.N)	E (09/25/2024)	$339.95
Penske Automotive Group, Inc (PAG.N)	O (09/25/2024)	$214.57
Sonic Automotive Inc (SAH.N)	E (09/25/2024)	$100.88
Javier Martinez de Olcoz Cerdan		
Goodyear Tire & Rubber Company (GT.O)	U (09/28/2025)	$7.45

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* Historical prices are not split adjusted.